

DECENTRALIZED MASTERS

MARKET UPDATE

Weekly Research Briefing

July 13, 2026

Tyler Hubbard

Head of Research, Decentralized Masters



Decentralized Masters

NFP SHOCK

WARSH TUESDAY

ETF REVERSAL

WTI Crude Oil

\$74.70

per barrel

+4.6% today

Gold (Spot)

\$4,068

per ounce

+1.5% wk

DXY (Dollar)

~101.3

near 13-mo high

-0.3% wk

10-yr Treasury

4.50%

yield

+8bps wk

57K NFP Miss — Worst Since Late 2025:

June jobs: 57K vs 110K+ expected. Prior months revised -74K combined. Participation rate fell to 61.5%, lowest since Mar 2021. Household employment -507K. Dollar fell, gold +2%, rate hike bets pared.

Iran: Ceasefire Cancelled, Oil Surging

Today:

Fresh US-Iran strikes over the weekend — 4th US strike in a week. Iran attacked Cyprus-flagged container ship Sunday. WTI +4.6% today to \$74.70. Brent ~\$79.50. Hormuz shipping significantly slowed.

FOMC June Minutes: 'No Urgency to

Hike':

Minutes (July 8) were sparse — Warsh design. Committee saw 'no urgency' given cooling labor. NY Fed's Williams: policy 'in a good place,' not considering July hike. Sept hike odds: ~60-70%.

Equities — Dow ATH, AI Fatigue

Growing:

S&P +1%, Nasdaq +2% last week (2nd positive week). Dow hit intraday ATH. But S&P tech sector -10% from peak. Q2 earnings season opens Tuesday. FactSet forecasts 23.6% YoY earnings growth.

JUNE NFP: +57K — A MAJOR LABOR MARKET MISS

July 2, 2026

ACTUAL

+57K

Jobs added in June

Consensus: ~110-115K

Prior 2-mo revisions: -74K

First-half avg: +92K/mo

Unemployment Rate

4.2% ↓ from 4.3% — bad reason: participation fell

Labor Force Participation

61.5% Lowest since March 2021

Household Employment

-507K Large drop — people left workforce

Leisure & Hospitality

-61K World Cup seasonal effect

Avg Hourly Earnings (YoY)

3.5% ↑ from 3.4% — wages still sticky

MARKET REACTION — THURSDAY JULY 2

US Dollar

↓ **2-week low**

Gold

+2% to \$4,120

10yr Yield

Fell sharply

Sept Hike %

Pared back

Then Iran struck again over the holiday weekend — erasing much of the dovish repricing.

IRAN: CEASEFIRE CANCELLED — OIL SURGES AGAIN

Jun 30

Doha talks — 'positive progress'
next meeting after Khamenei
funeral

Jul 7

Iran strikes Al-Rekayyat
(Qatari LNG tanker)

Jul 8

US strikes 80+ Iranian targets
Trump: ceasefire 'over' at NATO

Jul 9-11

Weekend: Iran hits Cyprus tanker
US 4th strike in a week

Jul 12-13

Iran: 'Hormuz closed'
(US CENTCOM disputed)
Oil +4.5% today

Pre-War WTI

~\$65

Feb 2026 baseline

War Peak

~\$120+

Hormuz closure peak

June lows (Reopening)

~\$67

Hormuz partially open

Today (Iran Re-Esc.)

~\$74.70

+4.6% this morning



THE CPI PROBLEM:

Tuesday's June CPI is expected to show energy deflation driven by June's lower oil prices (Hormuz partial reopening). But oil is already +4.6% this morning. If Iran keeps Hormuz disrupted through July, the June CPI energy drop becomes a one-month artifact — and the inflation peak thesis collapses into July's data.

FED WATCH: MINUTES, WARSH, AND JULY 29 SETUP

JUNE FOMC MINUTES (Jul 8)

- Scant on details — Warsh design; no forward guidance
- Committee: 'no urgency to hike' given cooling labor market
- But acknowledged inflation remains well above the 2% target
- NY Fed's Williams (Jul 7): policy 'in a good place' — NOT considering July hike
- 9 of 18 officials still project at least one 2026 hike in the dot plot
- Iran re-escalation since June meeting = unknown variable Warsh must address

RATE HIKE PROBABILITIES

July 29 FOMC **~5-10%**

Not live — Williams said 'no urgency'

September FOMC **~60-70%**

Oscillating: NFP pushed down, Iran re-escalation pushing back up

December 2026 **~40-50%**

Fully in play; depends on inflation trajectory

★★ WARSH CONGRESSIONAL TESTIMONY — TUESDAY 10AM ET

- House Financial Services Committee Tuesday; Senate Banking Committee Wednesday. First time before Congress as Fed Chair.
- CPI data drops at 8:30am — Warsh testifies 90 minutes later. He will know the June inflation number when he enters the chamber.
- Key questions markets will be parsing: Does he endorse the 9-hike-dot view? Does he give any July 29 signals? How does he characterize Iran?
- Warsh has signaled end of forward guidance era — expect measured, non-committal language. Q&A sessions are the real risk.

EQUITIES: DOW ATH, AI FATIGUE, EARNINGS OPEN

S&P 500

~7,530

+1.0% wk

Nasdaq

~26,100

+2.0% wk

Dow Jones

~53,100

ATH July 6

VIX

~15.0

6-month low

WHAT HAPPENED LAST WEEK

- Dow hit intraday ATH July 6 — Industrials and Financials leading
- S&P tech sector -10% from recent peak — AI capex doubts building
- Ed Yardeni: 'AI fatigue' as market questions infrastructure ROI
- VIX at 15 — near 6-month lows — market not pricing much fear
- 63% of S&P 500 stocks above 50-day MA (up from 50% a month ago)
- Equal-weight S&P near ATH — breadth is actually improving

Q2 EARNINGS THIS WEEK

Tue Jul 14

JPM, BAC, GS, WFC, Citi — Big Banks

Credit quality, NIM, loan growth

Wed Jul 15

ASML, Morgan Stanley, Netflix, UAL

AI chip orders; streaming vs. travel

Thu Jul 16

TSMC, GE Aerospace, UNH, Netflix

TSMC AI guidance = key market driver

Fri Jul 17

No major earnings expected

Focus on Mich. Sentiment instead

FactSet consensus: Q2 S&P 500 earnings growth 23.6% YoY — second consecutive quarter above 20%. Strong fundamental backdrop even in challenging macro.

THIS WEEK: BIGGEST TUESDAY OF 2026

MON Jul 13	TUE Jul 14	WED Jul 15	THU Jul 16	FRI Jul 17
No major data Iran weekend strikes already in market	★★ June CPI (8:30) ★★ Warsh House Testimony (10:00) JPM BAC GS WFC C Earnings	PPI (8:30) Warsh Senate Testimony ASML MS NFLX UAL Earnings	Retail Sales Initial Claims / Philly Fed TSMC GE UNH Earnings	U. Mich. Sentiment (prelim) Industrial Prod / Housing Starts --

TUESDAY: CPI at 8:30 | Warsh at 10:00 | JPM / GS / BAC earnings — three simultaneous market-moving catalysts. Most consequential single day since the June FOMC.

CRYPTO OVERVIEW: 8-WEEK OUTFLOW STREAK ENDS

July 13, 2026

Bitcoin (BTC)

\$63,042

~\$1.25T Mkt Cap

+5.5% (2wk)

Ethereum (ETH)

\$1,820

~\$220B Mkt Cap

+16.2% (2wk)

BTC ETF Inflows

\$197M

Week of Jul 7-11

First +ve week in 8

ETH ETF Inflows

\$84M

8-wk streak broken

Both assets reversed

THE 8-WEEK OUTFLOW CONTEXT

\$9.46 BILLION OUT over 8 consecutive weeks (May 15 – July 4)

\$282M IN — week of July 7-11 (3% of the outflows recovered)

- Inflow catalyst: June 2 NFP miss pared rate hike bets → ETF inflows started July 2, peaked at \$265M on July 7.
- USDT dominance retreated from 4-year highs (9.35% → 8.54%) — positive signal for broader risk appetite.
- Average ETF holder cost basis: ~\$83,800, well above \$63K. That gap creates psychological overhang — holders still in loss.
- Swissblock: 'Most overwhelming ETF distribution wave of this bear market has ended.' — Note the language: ended, not reversed.

BITCOIN: RECOVERY + WHAT HAPPENS NEXT

BT
C

KEY PRICE LEVELS

200-day MA: ~\$65,200

Overhead resistance — key structural test

50-day MA: ~\$65,750

Overhead resistance — above 200-day

Key Resistance: \$65,000

Psychological + technical zone

Current Price: \$63,042

Up ~7% from \$59,023 June 25 flush

Support 1: \$61,000–\$61,750

First repair zone; needs to hold

Support 2: \$59,000

June 25 flush low — structural

TWO-WEEK RECOVERY

Jun 25 flush low	\$59,023
Jun 29	\$59,800
Jul 7	\$62,900
Today (Jul 13)	\$63,042

THE CLARITY ACT — AUG 7 DEADLINE

- Congress recess August 7 — 25 days away
- If passed: regulatory clarity → institutional floodgates
- If delayed: pushed to midterm cycle = months of limbo
- CFTC Chair Selig publicly pressuring Senate to act now
- Partisan friction: Trump's \$1.4B digital asset revenues

ETH AT \$1,820:

Up +16% from \$1,565 low. ETH ETF inflows proportionally stronger than BTC last week. ETH/BTC ratio recovering from 0.026 multi-year lows. Glamsterdam devnet on schedule. BitMine holds 5.62M ETH unchanged. Medium-term thesis intact — macro still in control near-term.

01

CPI + Warsh Tuesday

The Week's Defining Catalyst

- June CPI est. 3.8% YoY (from 4.2%) — energy-driven drop. Core: ~2.9% (stable). Soft print = meaningful relief.
- Warsh testifies 90 min after CPI drops — Q&A sessions are the real risk. No forward guidance expected, but watch tone.
- Scenario A: Soft CPI + patient Warsh → Sept hike odds fall, BTC targets \$65K, ETF inflows build for week 2.

02

Iran: Hormuz Again

Oil Is Already Responding

- WTI +4.6% today on weekend strikes. Brent ~\$79.50. Iran claims Hormuz 'closed'; US CENTCOM disputes it.
- If oil holds above \$78-80, June CPI energy deflation becomes a one-month anomaly — Warsh must address.
- Watch for Qatar/Pakistan mediation update — Khamenei funeral period ended; diplomatic window may re-open.

03

ETF Flows + TSMC

Build Conviction or One-Week Bounce?

- \$282M in last week. Week 2 of inflows would materially change the narrative from tactical to strategic.
- TSMC earnings Thursday: AI chip demand guidance is the most important single corporate data point for crypto's macro backdrop.
- CLARITY Act: August 7 recess deadline is 25 days away — Senate floor schedule matters.